

## Marketing the Nissan Micra and Tata Nano Using Social Media

On September 14, 2012, Shrada Deshpande, social media director for Tata Motors, had a meeting with the company's new managing director, Karl Slym. Slym, the former head of General Motors India, had been hired by Tata the previous month from a post with GM in China.

Slym had several key objectives in his new role, including strengthening Tata's domestic sales and determining whether or not to take the Nano to other markets. As a result, he asked Deshpande and the other members of the Nano advertising team to brief him on their past campaigns and their results.

During the meeting Slym had shown great interest as Deshpande explained the recent campaign in which Tata Motors partnered with MTV and launched India's first social streaming show. The show featured an *Amazing Race*-style road trip competition involving the Tata Nano. Facebook played a central role, with prospective driver teams applying at a Facebook site devoted to the project and fans following the teams and posting comments at the site throughout the competition.

Slym asked about the Nissan Micra's Facebook campaign in 2011. The new MD's detailed knowledge of the market surprised Deshpande, but she explained that the Micra hatchback car had "starred" in a Bollywood-type film with actor Ranbir Kapoor. Consumers auditioned to co-star in the film, voted on shot options, and viewed the final film at Nissan's Facebook site.

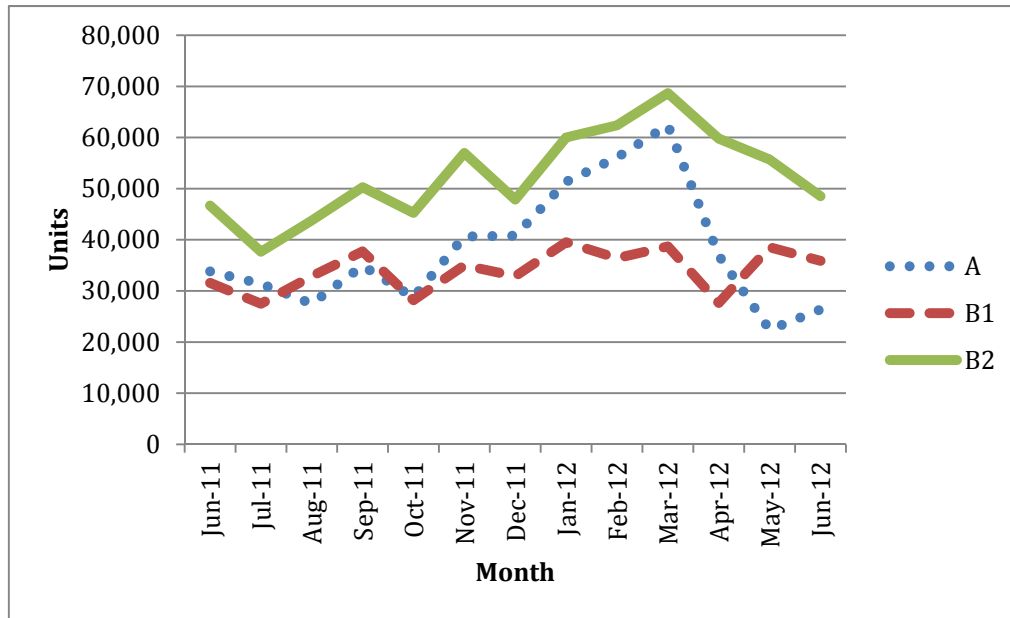
Deshpande left the meeting with several questions from Slym and less than a week to develop answers. How effective were these social media campaigns? Would the Micra campaign have worked equally well for the Nano, and vice versa? And, perhaps most important, could the heightened consumer engagement created during such campaigns be sustained, and if so, how?

### Nissan and the Micra in India

Nissan was a global automobile manufacturer, but it had virtually no presence in India until 2008 when it partnered with Renault to build a factory near the city of Chennai. In July 2010 Nissan started selling the Micra, its first locally produced car, and began the formidable job of building brand awareness.

Hatchbacks dominated the Indian automobile industry and were classified, from least to most expensive, as A, B1, and B2. In 2011–2012, B2 hatchbacks accounted for the greatest volume of sales (see **Figure 1**).

**Figure 1:** Hatchback Sales in India, 2011–2012



Source: Raw numbers were compiled from Team-BHP, "December 2011: Indian Car Sales & Analysis," <http://www.team-bhp.com>; MotorBeam, "Sales Figures & Analysis," March and June 2012, <http://www.motorbeam.com>; Management Punditz, "Indian Car Sales Figures," January–March 2012, <http://management-punditz.blogspot.com>.

The raw numbers were then manipulated to calculate market share and percentage of sales for a given manufacturer.

Although A hatchbacks outsold B1 hatchbacks in the early months of 2012, the situation reversed in May and June. The decline in sales of the A segment may have been attributable to a hike in gas prices, which drove a shift from gasoline-powered to diesel-powered cars. None of the cars in the A-hatchback category offered diesel models as of August 2012, and sales for the entire category declined.

The Micra was a hatchback; its size placed it at the upper end of the compact category (i.e., B2). As a premium hatchback it competed with well-established automobiles such as the Maruti Swift and Ritz, the Ford Figo, and the Hyundai i10 and i20. In 2010 Maruti held roughly 50 percent share of the passenger car market in India, and its Swift was the best-selling premium hatchback. See **Tables 1** and **2** for a comparison of gasoline- and diesel-powered versions of the cars.

**Table 1: Gasoline-Powered B2 Hatchbacks**

|              | Price (in lakhs) | Engine Capacity (cc) | Mileage (km/l) | Turning Radius (m) |
|--------------|------------------|----------------------|----------------|--------------------|
| Nissan Micra | 4.21–6.42        | 1198                 | 18.06          | 4.65               |
| Maruti Swift | 4.44–6.77        | 1197                 | 18.60          | 4.80               |
| Maruti Ritz  | 4.17–5.74        | 1197                 | 17.70          | 4.70               |
| Ford Figo    | 3.81–5.94        | 1196                 | 15.50          | 4.90               |
| Hyundai i10  | 3.65–6.11        | 1086                 | 20.36          | 4.70               |
| Hyundai i20  | 4.73–7.67        | 1200                 | 18.50          | 5.20               |

Source: Gaadi.com and dealer websites for each car.

**Table 2: Diesel-Powered B2 Hatchbacks**

|              | Price (in lakhs) | Engine Capacity (cc) | Mileage (km/l) |
|--------------|------------------|----------------------|----------------|
| Nissan Micra | 5.96–6.42        | 1461                 | 23.1           |
| Maruti Swift | 5.54–6.77        | 1248                 | 22.9           |
| Maruti Ritz  | 5.18–5.74        | 1248                 | 21.1           |
| Ford Figo    | 4.79–5.94        | 1399                 | 20.0           |
| Hyundai i10  | 4.50–5.35        | 1120                 | 18.8           |
| Hyundai i20  | 5.96–7.44        | 1400                 | 21.9           |

Source: Gaadi.com and dealer websites for each car.

To gain awareness for the unknown Micra, Nissan engaged as brand ambassador one of Bollywood's top stars, Ranbir Kapoor. A series of TV commercials showed Kapoor driving an orange Micra and highlighted various features of the car (e.g., small turning radius, push-to-start button, good mileage, etc.) using flashback techniques. The advertisements employed the tag line "Drive Simpler. Live Better." (See **Exhibit 1** for links to Nissan Micra commercials and translated transcripts.) Despite the ads and Kapoor's popularity, only 12,000 Micras were sold between July 2010 and March 2011. By contrast, annual sales for the Maruti Swift in 2010–2011 were 140,867, which represented a 21 percent increase over the prior year.<sup>1</sup>

In an effort to engage younger consumers and jumpstart sales, Nissan turned to digital media advertising agency AKQA for help. The result was the *The New Star of India*, a short film set to star Kapoor, the Micra, and twenty Indian consumers.

The *New Star of India* campaign began in September 2011 when a teaser clip was released on Nissan's Facebook page. In the clip, Kapoor announced he was seeking twenty co-stars for his new Bollywood film and invited those interested to audition by posting videos displaying their dancing skills on Nissan's Facebook page. To promote the event and to encourage people to visit the Facebook page, Nissan placed advertisements in *The Times of India*. Online bloggers who covered Bollywood, Kapoor, or Nissan were also contacted and provided with details about the event.

Consumers auditioned throughout the fall of 2011 by posting videos online or participating in auditions held in shopping malls in nine of India's biggest cities. More than 2,300 people posted videos and encouraged their friends and families to vote for them online. Nissan's Facebook page acquired more than 500,000 fans during the course of the event, which made it one of the top car brands on Facebook in India.

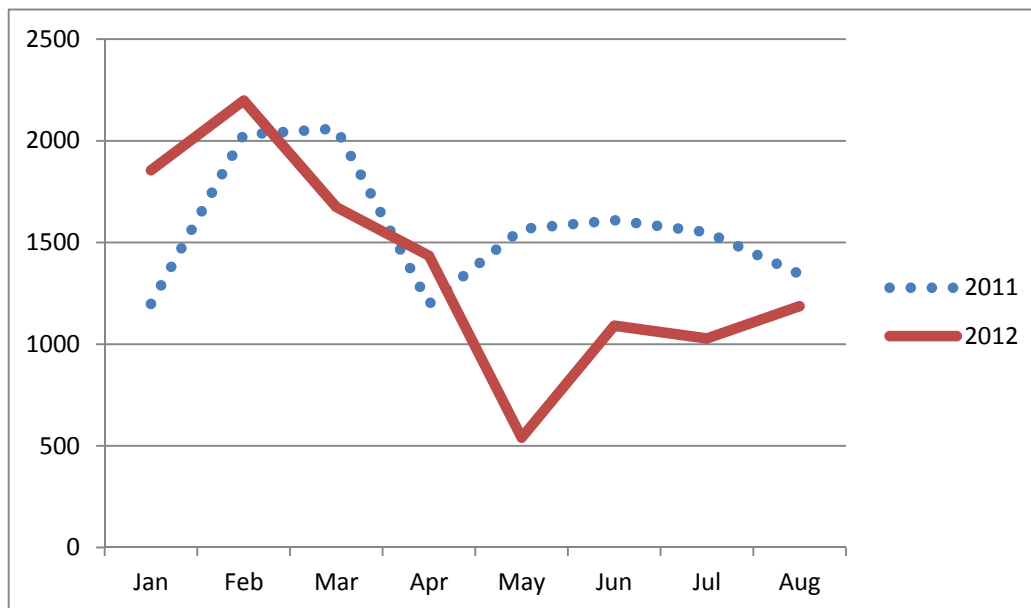
<sup>1</sup> "Car Sales: Maruti Remains the Hatchback Leader as Market Grows," *CarToq*, May 10, 2011, <http://www.cartog.com/car-sales-maruti-remains-the-hatchback-leader-as-market-grows>.

The one hundred video submissions receiving the most votes were shown to Kapoor and the executive members of the film crew, who then handpicked the twenty finalists. The finalists were flown to Hyderabad to begin filming at Ramoji Film City. To maintain consumer engagement during the filming, the faces of many of those who auditioned but were not finalists were incorporated into the movie set through artwork: murals of participants' Facebook profile pictures were painted onto the walls of the set or hung as posters adorning the busy market scenes in the film. In addition, Nissan's Facebook fans participated in the production of the film by voting on various shot options, which were periodically posted at the site. Finally, fans could submit a design for a promotional film poster, in which they would be photographed with Ranbir Kapoor.

The four-minute film was released on March 1, 2012, on Nissan's Facebook page and YouTube (see Exhibit 1 for link). The film also was publicized with a one-minute preview that was shown in 3,500 theaters across India. In the film, one hundred Micras helped the hero rescue the girl he loves from her father's clutches. The cars also demonstrated their agility and small turning radius when they performed a parody of a Bollywood dance. The song featured in the movie garnered its own attention on the pop charts and in a video.<sup>2</sup>

In April, the month immediately following the end of the campaign, more than five hundred test drives were booked through Nissan's Facebook page. Sales in January and February 2012 grew over the previous year and peaked at 2,198 in February. However, total sales for the first eight months of 2012 were 11,008, down 12 percent from sales of 12,556 for the same period in the previous year (see **Figure 2**).

**Figure 2:** Monthly Nissan Micra Sales in India

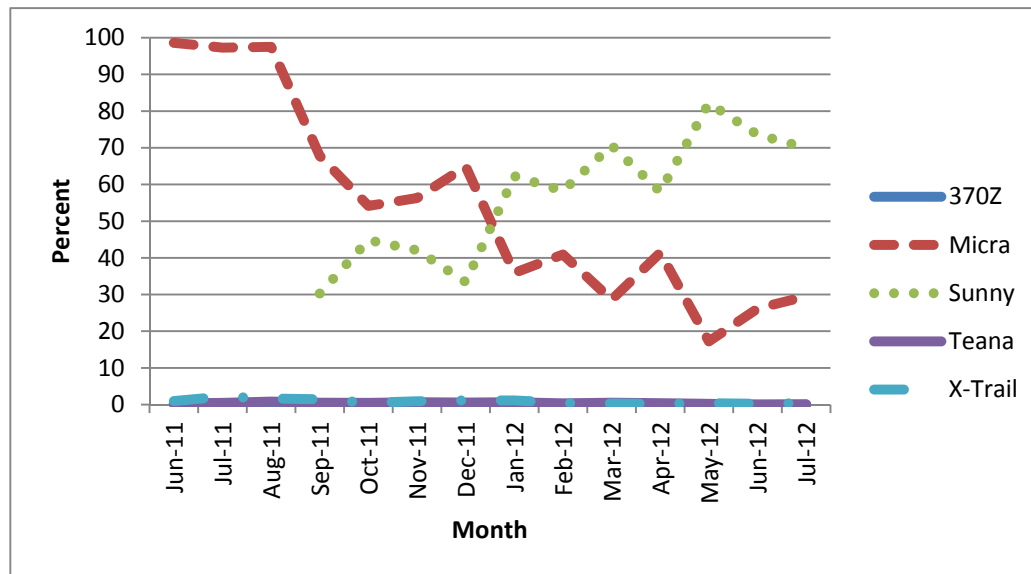


Source: Management Punditz, "Indian Car Sales Figures," January–August 2012, <http://management-punditz.blogspot.com>.

<sup>2</sup> A visual history of the campaign can be found at <http://www.akqa.com/#/approach/social/case-studies/nissan-new-star-of-india>.

Nevertheless, Nissan's overall sales grew significantly in 2011–2012 thanks to the Sunny, a sedan that was launched in September 2011. By the summer of 2012, the Sunny outsold the Micra roughly three to one.<sup>3</sup> The percentages of Nissan car sales for the Sunny and the Micra, as well as for other models that had little presence in India, are shown in **Figure 3**.

**Figure 3: Nissan India Sales by Model**



Source: Raw numbers were compiled from Team-BHP, "December 2011: Indian Car Sales & Analysis," <http://www.team-bhp.com>; MotorBeam, "Sales Figures & Analysis," March and June 2012, <http://www.motorbeam.com>; Management Punditz, "Indian Car Sales Figures," January–March 2012, <http://management-punditz.blogspot.com>.

The raw numbers were then manipulated to calculate the percentage of sales for Nissan.

## Tata Group and the Nano

The Tata Group had a long history in India. It was founded in 1868 as a trading company, and over the course of the next century and a half it expanded to include business in information technology and communication, engineering, materials, services, energy, consumer products, and chemicals. In 2012 the Tata brand was associated with products ranging from steel, hotels, and management consulting to fine jewelry, tea, and salt. Indian consumers and businesspeople alike trusted the Tata brand and associated it with responsible corporate citizenship and a commitment to improving conditions for the disadvantaged in India.

Tata Motors Ltd. was established in 1945 and entered the passenger car market in 1991 with the launch of the Indica, a mid-sized hatchback that competed with the market-leading Maruti Alto. In 2007 CEO Ratan Tata announced his vision of producing a low-priced car—sold at

<sup>3</sup> Nabanita Roy, "Nissan India May 2012 Auto Sales Growth Stands at 98%," *RushLane*, June 1, 2012, <http://www.rushlane.com/nissan-india-may-2012-auto-sales-growth-stands-at-98-3138-sunny-sedan-and-micra-compact-premium-hatchback-cars-sold-1235494.html>; Manisha Sharma, "Nissan India Registers 155% Growth in June Sales," *Gaadi.com*, July 2, 2012, <http://www.gaadi.com/blog/nissan-india-registers-155-growth-in-june-sales>.

1 lakh<sup>4</sup>—that would enable many Indians who drove two-wheelers/motorcycles to move up to the car category. His vision was realized when the Tata Nano, dubbed the world's cheapest car, launched in April 2009. The Nano got off to a shaky start as a result of delays and limitations in production, followed by incidents in which early versions of the car spontaneously caught on fire. By its third anniversary, however, sales had increased and the Nano played an important role in Tata's passenger car portfolio. In June 2012 the Nano accounted for 32 percent of Tata's passenger car sales, slightly ahead of the Indica Vista, which previously had been Tata's best seller.

Like the Micra, the Nano was a hatchback, but it competed in the A segment against the Maruti 800, the Maruti Alto, the Chevrolet/GM Spark, and the Hyundai Eon. A comparison of prices, as well as some of the key features of the cars, appears in **Table 3** below.

**Table 3: A (Mini) Hatchbacks**

|             | Price<br>(in lakhs) | Engine Capacity<br>(cc) | Mileage<br>(km/l) | Turning Radius<br>(m) | Diesel Model |
|-------------|---------------------|-------------------------|-------------------|-----------------------|--------------|
| Maruti Alto | 2.40–3.39           | 796                     | 19.7              | 4.6                   | No           |
| Maruti 800  | 2.04–2.27           | 796                     | 16.1              | 4.4                   | No           |
| Tata Nano   | 1.44–2.01           | 624                     | 25.4              | 4.0                   | No           |
| Hyundai Eon | 2.75–3.77           | 814                     | 21.1              | N/A                   | No           |

Source: Gaadi.com and CarDekho.com.

Tata used a combination of advertising and social media events to promote the Nano in 2012. The commercials highlighted various features of the car. For example, one ad that depicted five teenagers on a road trip showed off the car's spacious interior, smooth ride quality, air conditioning, mileage, and small turning radius. Another commercial showed a couple driving during a storm and passing a handful of motorcyclists who are getting drenched. A third commercial featured a family of four taking a road trip, during which they pass a similar family perched precariously on a motorbike. The two children in the Nano are shown sleeping comfortably in the back seat of the car. A final commercial featured a couple stuck in heavy traffic. While waiting, the couple engages in a tickling match while a nearby couple on a motorbike looks on enviously.

The commercials suggested that Tata was positioning the Nano as an alternative to motorbikes/two-wheelers. By contrast, Maruti's commercials for the Alto reflected its leadership position in the segment. They emphasized features of the car that defined the segment, such as good mileage and small turning radius, but did not compare the car to two-wheelers. (See **Exhibit 2** for links to Tata Nano commercials and translated transcripts.)

In May 2012 Tata partnered with MTV to launch "Nano Drive with MTV," India's first social streaming show. The show was an interactive driving adventure around India featuring four teams, one from each region: North, South, East, and West. Teams of two people were selected to star in the project based on online auditions.<sup>5</sup> Each team was given a Nano, a limited budget, and

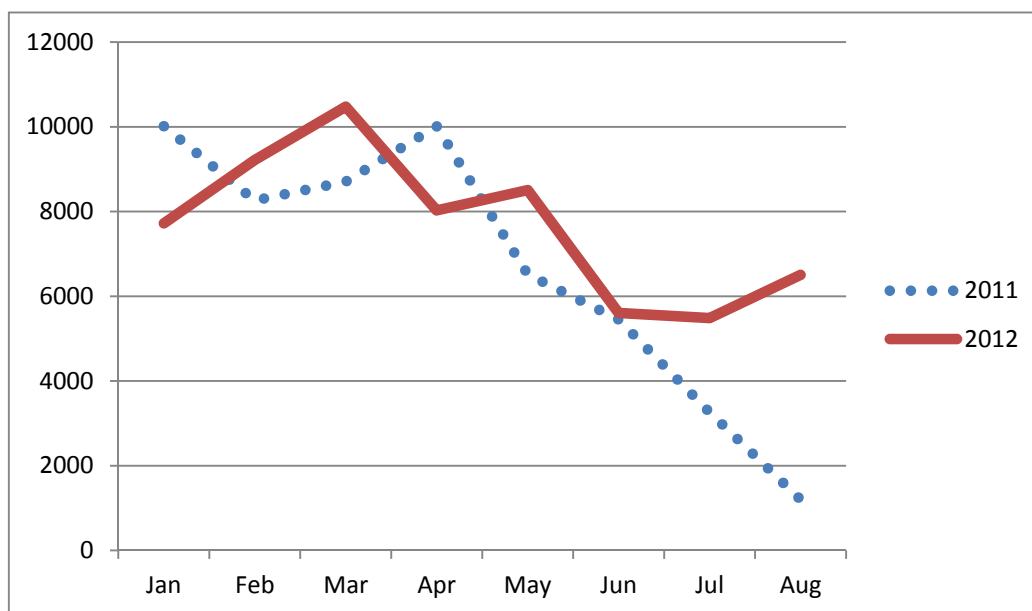
<sup>4</sup> In the numbering system used in South Asia, which is based on the Vedic numerical system, one hundred thousand Rupees (Rs. 100,000) is referred to as 1 lakh and denoted as 1,00,000. One hundred lakhs (i.e., Rs. 10 million) is referred to as 1 crore and denoted as 1,00,00,000.

<sup>5</sup> See sample audition tape at [http://www.youtube.com/watch?v=q\\_1L6H36NvU](http://www.youtube.com/watch?v=q_1L6H36NvU).

a specific route for a road trip that had to be completed in twenty days. Team leaders and consultants were MTV stars. The teams chronicled their adventures online for more than 1.5 million Facebook fans who commented on entries and photos. Eighty thousand fans were actively involved, offering comments and posting regularly. Members of the winning team (Team North) and its most dedicated Facebook fan each received a Nano at the culmination of the event, which aired on MTV.

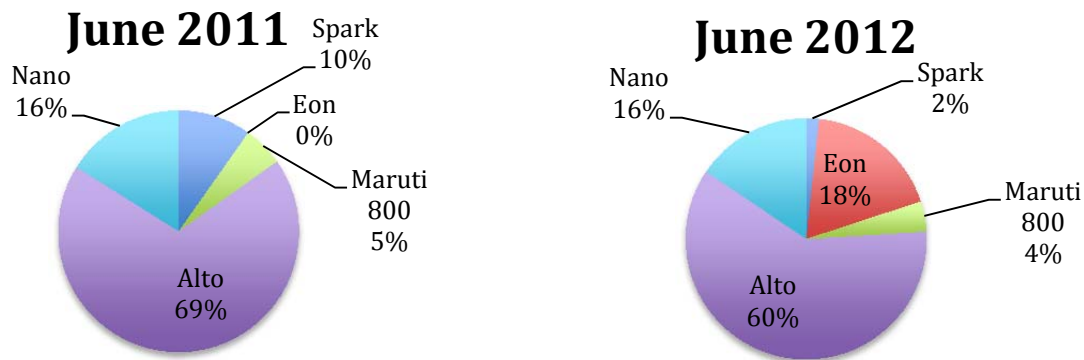
Monthly sales of the Nano peaked in March 2012 at 10,475 units, then declined slightly in the months of April, May, and June (see **Figure 4**). This decline coincided with the deregulation of gas prices and the movement of consumers to diesel-powered cars, none of which were available in this segment.

**Figure 4:** Monthly Tata Nano Sales in India



Source: Management Punditz, "Indian Car Sales Figures," January–August 2012, <http://management-punditz.blogspot.com>.

In June 2012 the Maruti Alto continued to hold the leading position among A (mini) hatchbacks with 60 percent market share, and the Hyundai Eon (launched in September 2011) beat the Nano for the number two spot at 18 percent versus 16 percent. The Maruti 800, the number four car in the segment, had 4 percent market share.

**Figure 5: Market Share of A Hatchbacks**

Source: Raw numbers were compiled from Team-BHP, "December 2011: Indian Car Sales & Analysis," <http://www.team-bhp.com>; MotorBeam, "Sales Figures & Analysis," March and June 2012, <http://www.motorbeam.com>; Management Punditz, "Indian Car Sales Figures," January–March 2012, <http://management-punditz.blogspot.com>.

The raw numbers were then manipulated to calculate market share and percentage of sales for a given manufacturer.

## Challenge

As she evaluated the promotional campaigns for the Nissan Micra and the Tata Nano for Slym, Deshpande needed to pay careful attention to the role played by traditional and social media and the similarities and differences in how Nissan and Tata used these media. Would the Micra campaign have been equally appropriate for the Nano, and vice versa? Both brands made extensive use of Facebook in their campaigns and built measurable engagement, but she needed to figure out how it could be sustained over time.



**Exhibit 1: Nissan Micra Commercials and Campaigns**

## TV COMMERCIALS FEATURING RANBIR KAPOOR

*Commercial 1*

**Link:** <http://www.youtube.com/watch?v=MCaxlGLPcxo>

**Song:** “Life is a beautiful journey, what will happen tomorrow, no one knows” (from the 1971 hit Bollywood movie *Andaaz*)

**Scene:** An orange Micra drives through the black-and-white traffic-free streets of an older India (most likely around the time the song was written). The Micra is heading toward a romantic seaside area where there is an abundance of parking spaces. When the Micra comes to a stop, a screen parts to reveal the full-color modern-day area and a full parking lot. Kapoor says, “Those old days will not come back, nor will the open parking spaces.” With “Effortless parking” superimposed on the screen, Kapoor parks the Micra and says, “Nissan Micra. Drive simpler. Live better.”

*Commercial 2*

**Link:** <http://www.youtube.com/watch?v=86C62V0F4uA>

**Song:** “Wheels on the road, the car on the wheel, in the car we go, some in the front, some in the back” (from 1968 hit Bollywood movie *Brahmachari*)

**Scene:** An orange Micra drives through the black-and-white winding roads of an older India with five people inside going on a road trip. When the Micra comes to a stop at an old gas station, a curtain is pulled back to reveal a full-color modern-day gas station. Kapoor says, “Those old days will not come back, nor will the fuel prices.” With “Longer drives per litre” superimposed on the screen, Kapoor pulls out of the station without refueling and says, “Nissan Micra. Drive simpler. Live better.”

*Commercial 3*

**Link:** <http://www.youtube.com/watch?v=egcxItsCwfU>

**Song:** “I keep moving in her tune, carrying tones of the heartbeat, carrying visions of our meeting in my mind’s eye, carrying thousands of beautiful dreams of you and I together” (from 1972 hit Bollywood movie *Mere Jeewan Saathi*)

**Scene:** An orange Micra navigates the black-and-white traffic-free streets of an older India with ease. When it comes to a stop at an intersection, a screen is moved to reveal the full-color modern-day street, which is jammed with cars and pedestrians. Kapoor says, “Those old days will not come back, nor will the empty streets.” With “Shortest turning radius” superimposed on the screen, Kapoor makes a U-turn away from the busy intersection and says, “Nissan Micra. Drive simpler. Live better.”

## NEW STAR OF INDIA

**Link:** <http://www.youtube.com/watch?v=KGU45aNm-C4>

**Exhibit 2: Tata Nano Commercials and Campaigns**

## TV COMMERCIALS

*Commercial 1*

**Link:** <http://www.youtube.com/watch?v=Gj2D3taMHBE>

Girl: Where is Amar?

Guy 1: *(playfully)* How should I know? You should know.

*Amar drives up in a Nano and honks the horn.*

Guy 2: New car! Insane car! Let's go, take us for a treat—right now!

*The three get in the Nano with Amar and drive away.*

Amar: Let's go, I'll take you for tea.

Girl,

Guy 1/2: Tea?

Amar: At Laal Dibbey.

Guy 2: 150 km for tea? Awesome. Let's go, let's go!

Guy 1: *(Guy 2 tries to pick up Guy 1's guitar)* Uh uh. You, me, and guitar.

Guy 2: Say, should we invite Sita, too?

Guy 1: The suspension is awesome, buddy. Look—his stomach is not even moving.  
*(puts his hand on Guy 2's stomach)*

Guy 2: Don't touch, buddy!

Amar: *(to girl)* You want to drive?

Girl: Yes!

Guy 2: *(cold from AC, wraps a scarf around his head)* This car made me into ice cream.

Guy 1: *(draws with a marker on Guy 2's face while he is asleep)* I'll make a poster of this. *(Amar and Girl laugh)*

Guy 1: *(to Amar, as the car drives on a winding road)* She will make you go in circles like this.

Girl: *(Guy 2 has awakened and is noisily eating chips)* Learn something from the car, big guy, even it's on a diet.

Amar: *(pointing to the fuel gauge)* Look, the tank is still full.

*All cheer as they finally arrive at the tea shop.*

Amar: The great thing about this place's tea is—

Girl: *(looking at only three cups of tea on the table)* Where is mine?

Guy 1: *(puts two straws in Amar's cup)* Love will grow if you share a cup of tea. *(makes a kissing sound)*

Voiceover: Now get going just for the sake of it . . . presenting Tata Nano 2012.

### Commercial 2

**Link:** [http://www.youtube.com/watch?v=HkkV\\_TkjFxE](http://www.youtube.com/watch?v=HkkV_TkjFxE)

*A man and woman are driving in a Nano in a downpour. Outside their windows, two couples riding on scooters are unsuccessfully trying to shield themselves from the rain. The woman in the Nano starts singing a song.*

Man: All the years we were riding on a scooter, the wind kept stealing from me . . .

Woman: What?

Man: *(winks)* Your voice.

Voiceover: We have carefully stored those songs. Make them yours with Tata Nano: keys to your happiness.

### Commercial 3

**Link:** <http://www.youtube.com/watch?v=S-Z08m5OuFo>

*A mother and father are riding in the front of a Nano with two children in the back seat.*

Voiceover: In 2 km, arguing.

Father: *(turning)* Stop it.

Voiceover: In 10 km, pushing and shoving.

Father: *(turning)* Sh!

Voiceover: In 25 km, peace.

*(The children look out the window at a family of four riding on a scooter.)*

Voiceover: And in 30 km, romance.

*(With the children asleep, mother and father hold hands.)*

Voiceover: We have carefully stored the meeting of hands. Make it yours with Tata Nano: keys to your happiness.

*Commercial 4*

**Link:** <http://www.youtube.com/watch?v=FZA98FE1Q34>

*A couple is sitting in a Nano in gridlock traffic.*

Guy: (as girl starts to tickle him) What are you doing?

Girl: What will you say now? That I'll knock over the bike?

Guy: Please stop.

Girl: What will you say now? What if someone sees us?

Guy: Okay, fine! Stop, stop.

*He pauses, then begin tickling her as a couple riding a scooter looks on.*

Voiceover: We have carefully stored the playful laughter. Make it yours with Tata Nano: keys to your happiness.

NANO DRIVE WITH MTV

**Link:** <http://mtv.in.com/drive/index.php>